

gap between the price paid and intrinsic value narrowed, then money would be made. If that business were to grow beyond expectations, you'd likely make even more.

What I learned from Graham and Dodd has served me well, but I came to realize that I had remained anchored for longer than I should have to their tight focus on the importance of balance sheets, book value, and current cash flow or earnings. While my evolution as a value investor began with Graham and Dodd, my continuing education in the real world fostered a more nuanced understanding of value. For example, as my career progressed, it became clear to me that many of the better businesses in the world hardly ever trade at a discount to book value, let alone below net working capital, and many of these businesses never seemed to sell at a low multiple of current cash flow. While Graham and Dodd got me to focus on the price paid in comparison to balance sheet metrics as the essential arbiter of downside protection, I've come to appreciate that the substance of a business—things like its competitive position, its profit margins, and its growth rate—has greater importance.

I also came to realize two other things: (1) an assessment of a business's value that includes both its current and estimated future earnings could also provide a valuable margin of safety for the investor, and (2) a seemingly inexpensive business with significant current earnings and apparent balance sheet protection could nonetheless prove to be an unattractive investment if its basic business model is disrupted.

Many investors tend to think of value investing as the practice of owning the shares of humdrum established businesses, often those in cyclical industries, that are not experiencing much growth. Conversely, they consider growth stocks to be those businesses that can grow at a vigorous rate for years while experiencing limited economic cyclicality. But I've come to appreciate that there is not a bright line that divides growth and value. Value can be found in